

Generative AI's Act Two: From Technology Hammer to Real Value

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Act Two: customer-back

Generative AI is transitioning from novelty demos to end-to-end solutions that solve real human problems.

Commercial traction is real (>\$1B startup revenue), but retention is the gating constraint.

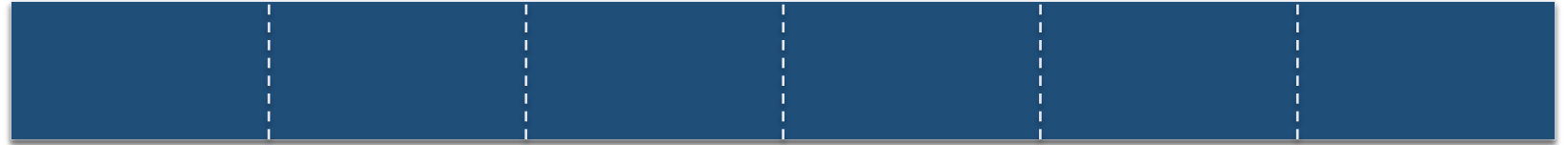
This deck diagnoses Act 1's technology-out trap and outlines Act 2's customer-back playbook.

Six Decades of Technological Progress Converged to Enable Generative AI

Compute, data, and distribution accumulated over decades

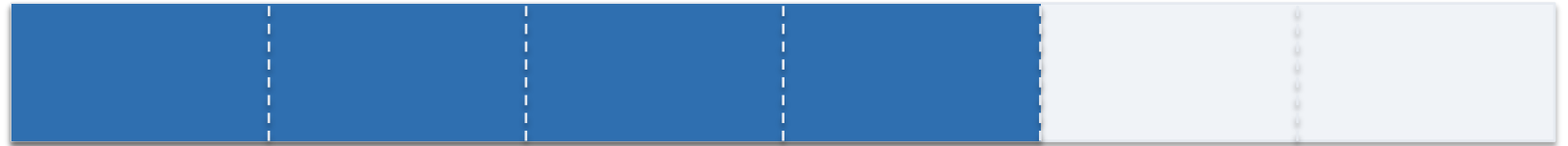
Moore's Law

6 decades of compute



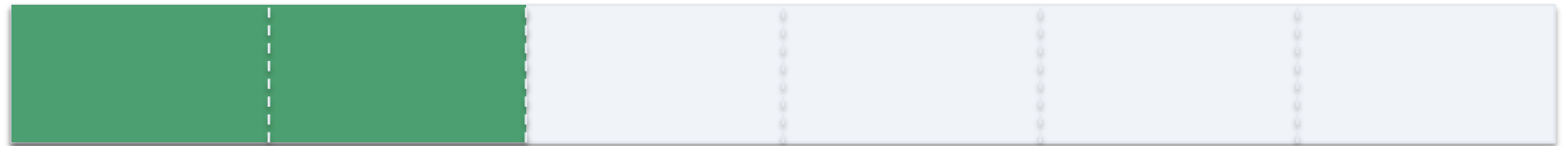
Internet

4 decades of training data



Mobile + cloud

2 decades of distribution



ChatGPT's launch was the spark; the conditions were built over decades.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Early commercial traction despite skepticism

Startup revenue milestone

>\$1B+

Reached in months, not years

Midjourney

Hundreds of \$M

Revenue with 11 employees

Character.ai

2 hrs

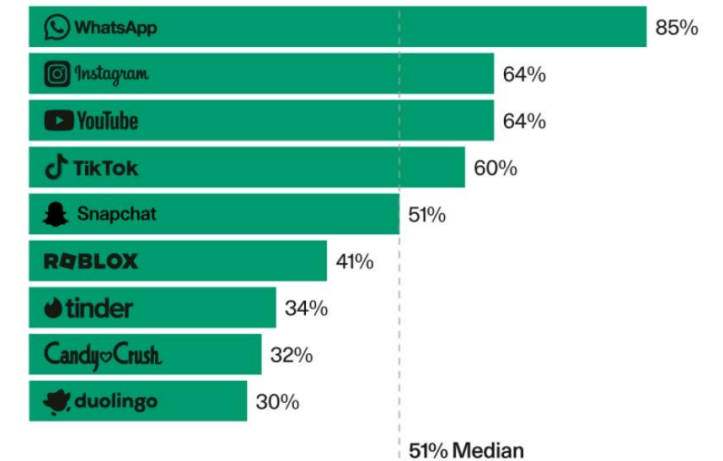
Average session time

ChatGPT: fastest-growing application in history (per Sequoia).

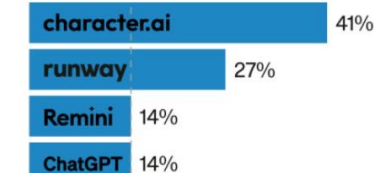
Despite standout successes, many AI companies lack product-market fit or sustainable advantage.

Retention becomes the litmus test for durable value creation.

Incumbents



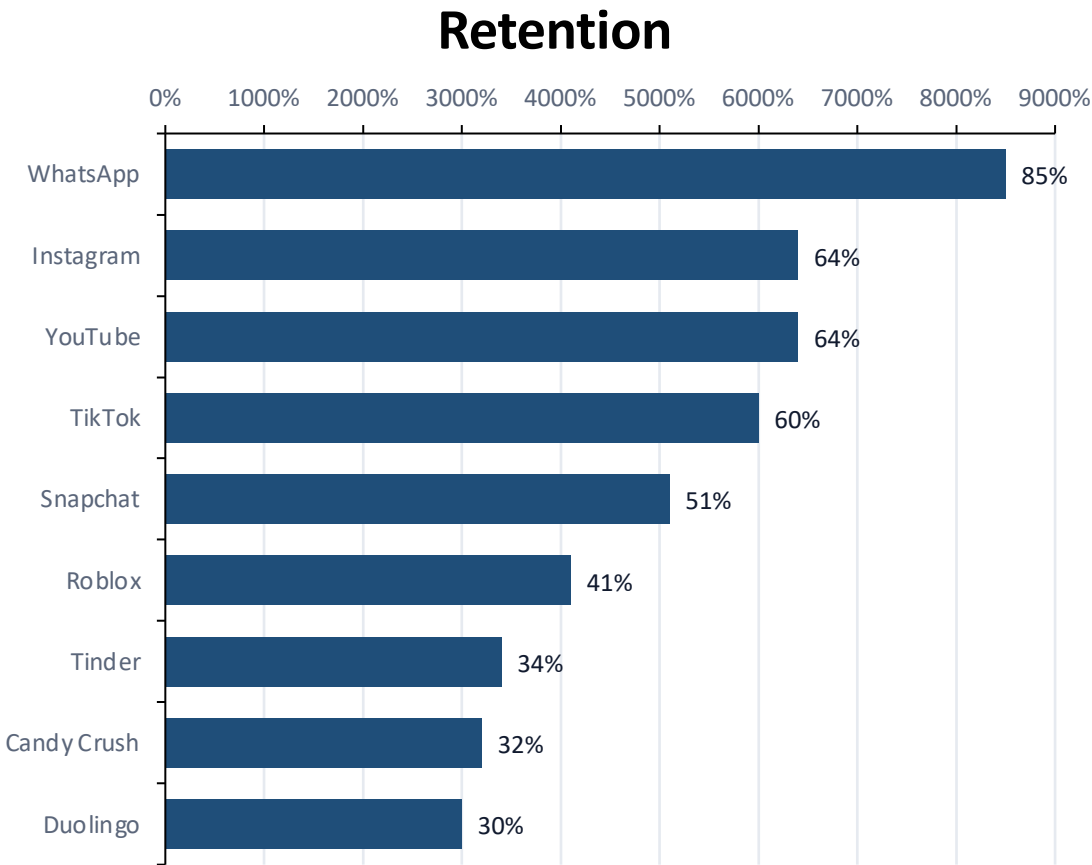
AI-First Companies



AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention rates by company

Incumbents

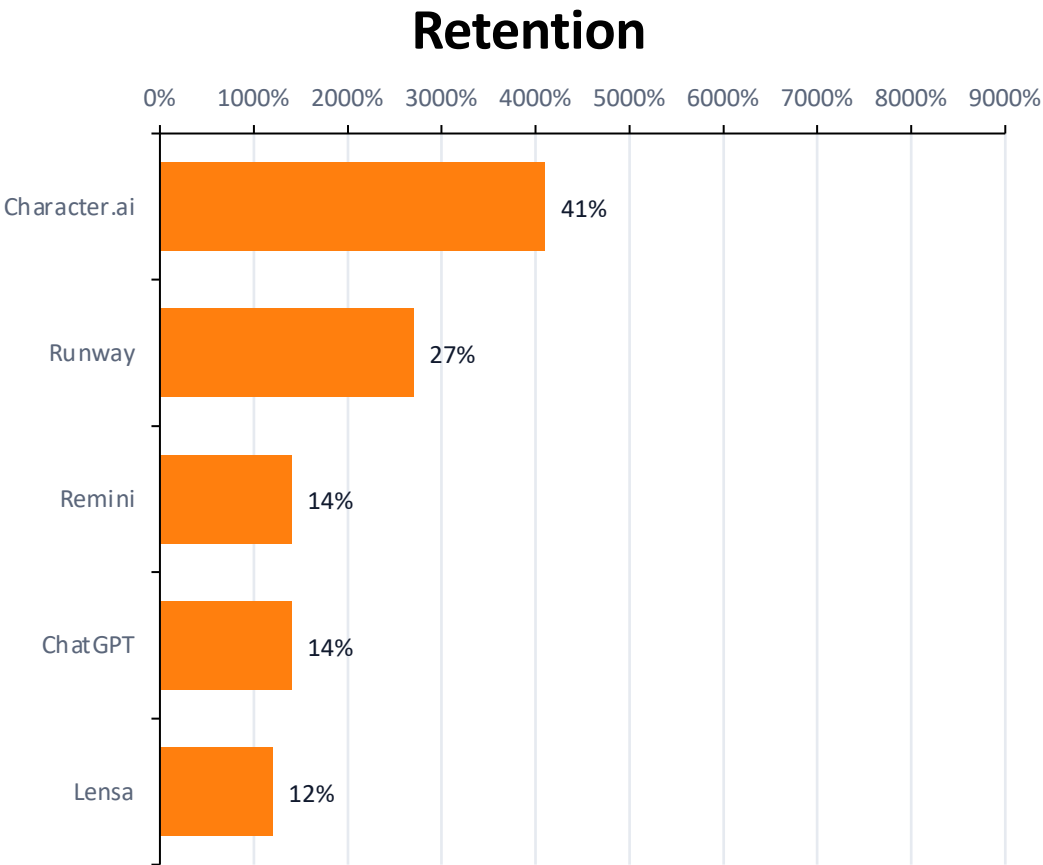


Median retention

51%

Source: Sequoia Capital, 'Generative AI's Act Two' (Sep 20, 2023).

AI-First



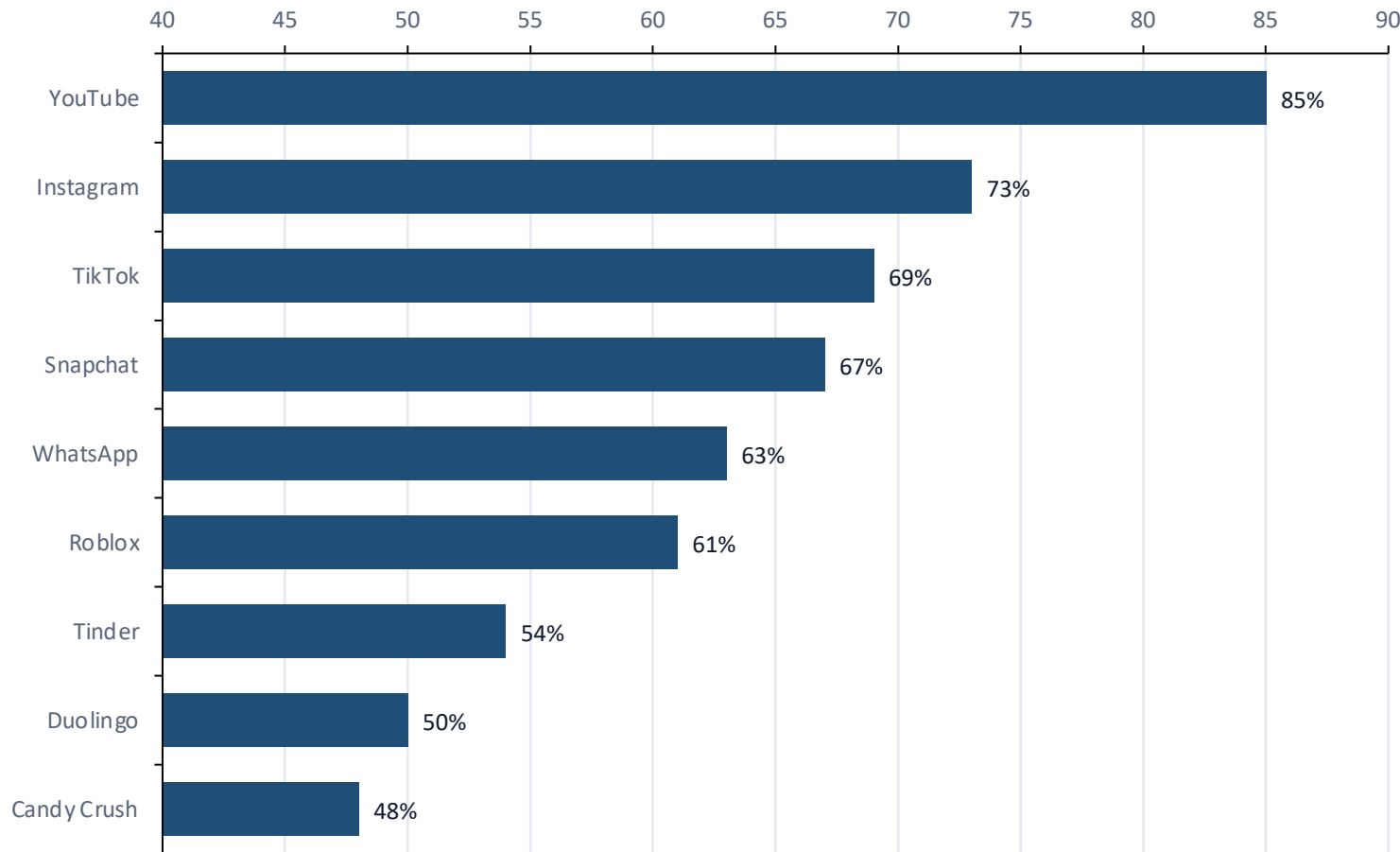
Median retention

14%

YouTube Leads Incumbents at 85% Monthly Active Usage

Incumbent engagement benchmarks contextualize the bar AI apps must clear

Monthly active usage



Incumbent median

63%

Monthly active usage

Benchmarks set a high bar

AI-first apps must clear
incumbent habits

Distribution alone is not
stickiness

Source: Sequoia Capital, 'Generative AI's Act Two' (Sep 20, 2023).



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Shift from 'foundation model = product' to end-to-end solutions

Act 1: Technology-Out

Foundation models as the entire solution

Novelty demos and lightweight wrappers

Undifferentiated 'AI copilot' pitches

Poor retention / low stickiness

Act 2: Customer-Back

Foundation models as a piece of a comprehensive solution

New editing interfaces improve workflows + outputs

Often multi-modal

End-to-end problem solving

Exemplars:

Harvey (custom LLMs for elite law firms)

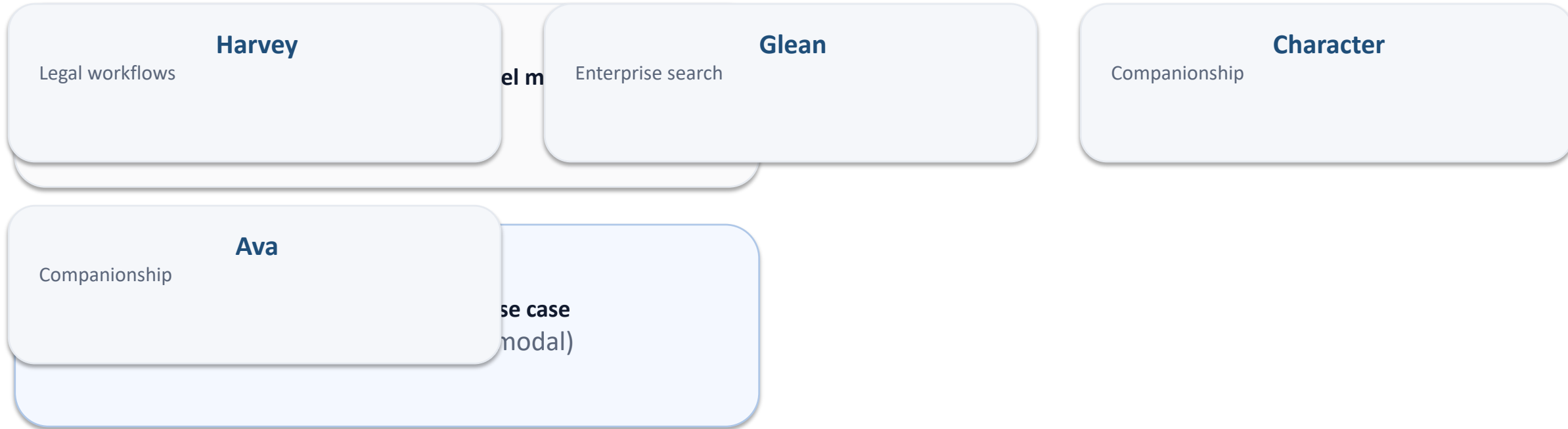
Glean (crawling + indexing workspaces for enterprise AI)

Character and Ava (digital companions)

Market Map Reorganized by Use Case, Not Model

Modality

As applications become multi-modal, value clusters around use cases



Reorganization mirrors the Act 1 → Act 2 transition: from 'technology hammer' to real value delivery.

Key Takeaways: What Separates Winners in Act Two

Actionable implications for builders and investors

Retention is the critical challenge: AI-first apps at 14% median vs. 51% for incumbents.

Foundation models should be a component, not the whole product.

Multi-modal, workflow-integrated solutions and new editing interfaces will win.

>\$1B+ startup revenue milestone proves demand exists despite hype-cycle skepticism.

Companies solving end-to-end human problems define Act 2.

Retention gap

3.6×

Source: Sequoia Capital, 'Generative AI's Act Two' (Sep 20, 2023).

AI-first vs incumbent median